LANGSTON'S

Micron Technology, Inc.

MU NASDAQ

Buy	$898.58 ▲ 0.66%	12M Price Target **$1050.00**	52-Week Range $106.75 – $1255.00	Market Cap N/A

MU: Memory Prices Surging, Musk Just Rang the Bell

WHAT HAPPENED

- MU bounced back hard after last week's pullback — up ~9% in two days. The big catalyst: Elon Musk publicly flagged that memory chip prices are surging, which is basically free advertising for the entire memory sector. Bank of America also doubled down on their bullish call this morning.
- Options flow is screaming bullish — traders are piling into $900-$920 call options (bets the stock keeps rising) at 5-8x normal volume. That's smart money positioning for more upside near-term.

WHY IT MATTERS

Here's the setup: AI data centers need massive amounts of a specific type of memory called HBM (high-bandwidth memory), and Micron is one of only three companies on the planet that makes it. When Musk publicly complains about memory prices, that tells you demand is way outstripping supply — which means Micron has pricing power, and pricing power in a commodity business is where fortunes get made. The CHIPS Act (bipartisan law from 2022) is literally paying Micron ~$6B+ in federal grants to build new fabs in New York and Idaho, so Uncle Sam is subsidizing their expansion. The stock at 69% of its 52-week range suggests there's still runway before it feels stretched — especially if next quarter's earnings confirm the price surge Musk hinted at.

POLICY & POLITICAL WATCH

Two big political tailwinds right now: (1) The CHIPS Act money is still flowing — Micron's Idaho fab broke ground and NY is next, with billions in federal grants plus a 25% investment tax credit that directly boosts their margins. (2) The Trump administration's tariff regime on Chinese semiconductors is actually helping Micron because their biggest competitor, China's CXMT, gets locked out of Western markets. The risk to watch: any thaw in U.S.-China trade talks could let Chinese memory suppliers back in, and separately, China has retaliated against Micron in the past by banning them from critical infrastructure — so headline risk on trade talks cuts both ways.

IS IT EXPENSIVE?

At ~$898, MU trades around 72x this year's earnings and about 48x next year's — meaning you're paying $72 today for every $1 they'll earn this fiscal year, dropping to $48 as earnings grow. That's not cheap, but memory is famously cyclical (huge swings up and down), and we're early in an up-cycle driven by AI, not the usual PC/phone cycle. Compared to Nvidia at ~35x forward earnings, MU looks pricier, but Nvidia's earnings are already massive — MU's are still ramping, so the "E" in P/E is about to get much bigger.

Key Data

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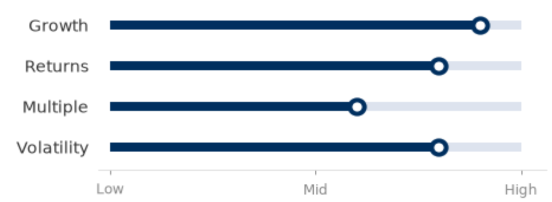
Price (USD)	**$898.58**
12M Price Target	**$1050.00**
Upside / (Downside)	**+16.9%**
Market Cap	**N/A**
FY2026E Revenue	**$45,800M**
FY2027E Revenue	**$58,200M**
FY2026E EPS	**$12.40**
FY2027E EPS	**$18.75**
Fwd P/E	**72.5x**

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500

AI-Generated Pre-Market Brief | 2026-08-05 14:47 UTC

MU — Micron Technology, Inc. | August 05, 2026

PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	**$980.00**	$920.00	**$820.00**
6 Months	**$1150.00**	$1000.00	**$780.00**
1 Year	**$1350.00**	$1050.00	**$700.00**
2 Years	**$1600.00**	$1200.00	**$650.00**
5 Years	**$2200.00**	$1500.00	**$500.00**
10 Years	**$3500.00**	$2000.00	**$400.00**

WHAT'S MOVING IN THE SECTOR

HEATING UP: Semiconductors broadly — Marvell, SanDisk, SK Hynix all ripped yesterday. This is being driven by two things: AI infrastructure spend (still accelerating) and memory-specific pricing power. Materials is also strong (+1.56%) which often signals industrial reflation.

COOLING OFF: Communication Services is flat — the ad-driven mega-caps aren't leading anymore. Money is moving out of "safe" tech and into the picks-and-shovels of AI.

ROTATION WATCH: Money is rotating into memory and storage names specifically — SanDisk earnings are the next catalyst, and if they confirm price hikes, it's rocket fuel for MU. This is the classic "second derivative" AI trade — you already own Nvidia, now you own what Nvidia can't function without.

RELATED PLAY: If you believe the memory thesis, look at Lam Research (LRCX) or Applied Materials (AMAT) — they make the equipment Micron needs to build new fabs, so they win regardless of which memory company grabs share.

WHO'S WINNING IN THIS SPACE?

- SNDK (SanDisk): Bulls piling in ahead of earnings — same memory price tailwind as MU.
- MRVL (Marvell): Custom AI silicon story, riding the data center wave with hyperscaler contracts.

MU CONTEXT: MU is leading, not lagging — the fact that it bounced first and hardest after last week's dip tells you institutions view it as the highest-quality memory play. Compare that to SanDisk (more NAND flash, less HBM exposure) — MU has better positioning for the AI-specific memory demand.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

CONVICTION: 8/10 — The setup is as clean as it gets: government subsidies, oligopoly market structure (only 3 players), and demand from the biggest capex boom in tech history. Not a 10 only because of memory's boom-bust history.

POSITION SIZE: 4-6% of portfolio — real upside, but memory stocks can drop 40% in a bad quarter, so don't oversize.

ENTRY POINTS: Stock pulled back to $823 last week on nothing in particular — that kind of dip on macro fear is your add. I'd scale in at $850 and below rather than chase $900.

TIME HORIZON: 12-24 months — the catalyst path is: Q4 earnings (memory price confirmation) → HBM4 chip wins with Nvidia's next platform → CHIPS Act fab coming online in 2027.

WHEN TO BAIL: If HBM pricing starts rolling over on earnings calls, or if China retaliates with a formal Micron ban in a new sector, or if insider selling accelerates beyond what we saw in July.
HEDGING: Simplest way — buy a put option at $800 for 3 months out. Costs you a little, but locks in the downside if the memory cycle turns. Or just take profits into strength above $1,000 and let the rest ride.